RIMOWA

AeroTight Pro: ***Pressurized Compact Luggage System***

Marketing Plan

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What is our Business?

Mission Statement

"We are a global lifestyle brand with a mission to create the essential tools for a lifetime of travel. For more than 120 years, we've dedicated ourselves to develop unique products where function coexists with luxury, heritage with innovation, and craftsmanship with design."

Company Background

It is not only the ambition to craft exceptional luggage but also the courage to question the status quo that lies at the heart of everything Rimowa does. Since its founding by Paul Morszeck in 1898, Rimowa has cultivated the pioneering spirit that is evident in every suitcase built. Inheriting his father's visionary approach, it was Richard Morszeck who – inspired by the early days of aviation – discovered grooved aluminum as the ideal lightweight material for Rimowa suitcases. A design classic was born. With the same ingenuity and courage as his father and grandfather, third-generation owner Dieter Morszeck paved the way for Rimowa's global success. Thanks to his focus on state-of-the-art technology, uncompromising quality, and timeless design, Rimowa suitcases have become the global companion of choice for a sophisticated clientele. Today, with 3,000 employees worldwide, Rimowa continues to combine craftsmanship with precision technology and a commitment to courageous innovation, staying true to its heritage in today's ever-changing world.

Since 1898, Rimowa has been manufacturing high-quality aluminum and polycarbonate suitcases, renowned for their durability, craftsmanship, and innovative design in the travel

industry. It is no secret that Rimowa has a reputation for excellence. Which reflects directly in the company's revenue, of almost $800 million in 2023.

Rimowa operates an extensive online presence. One can shop for their favorite product on their official website whenever they want, from any part of the world, and buy them. The company is a highly visible brand, with flagship stores and boutiques in gateway cities overseas, as well as in major department stores around the world. The company invests in yielding a Rimowa premium retail experience, often emulating its styling DNA exclusively for its stores.

Rimowa has added a compelling new product to its line-up: the AeroType Pro– a compact luggage system with a built-in pressurizing capability. With this innovative concept, we aim to address pressure fluctuations during flights or simply help our customers fit everything into their bags. Designed to protect delicate items like electronics or fragile souvenirs, the pressurizing system could prove invaluable. As well as preserving the freshness of essentials such as toiletries or snacks, it can enhance the travel experience.

The proposed pressurizing luggage system aligns with the current needs and trends in the travel industry, making it a timely and relevant product extension. As our customers travel to destinations with varying altitudes and temperatures, they need space in their luggage to bring whatever they have in mind to their destination of choice. This innovation addresses this specific pain point, catering to the contemporary traveler's desire for both functionality and protection of their belongings.

Rimowa's mission has always been centered around crafting innovative and durable travel solutions. The pressurizing luggage system harmonizes with this mission by introducing cutting-edge technology to enhance the overall travel experience for our customers. It reflects

Rimowa's commitment to staying at the forefront of luggage design, offering solutions that go beyond traditional expectations.

Furthermore, the AeroType Pro new product fits with Rimowa's brand image of luxury and sophistication. By introducing a feature that prioritizes the travel experience of the customers, Rimowa reinforces its commitment to quality and reliability, appealing to discerning travelers who seek premium solutions.

In terms of differentiation, the pressurizing luggage system sets itself apart from existing offerings by being an integrated and compact solution within the luggage itself. While other companies may focus on various features, Rimowa's approach provides a holistic and innovative solution to a specific unmet need in the market.

Core Competencies / Unique Value Proposition (UVP)

Rimowa is positioned in the luggage market for its innovative design, brand heritage, and prestige, attention to detail and quality, global presence, collaborations, and limited-edition products. Rimowa has a team working to put together innovative designs with the use of aluminum and polycarbonate. The durability and the lightweight aspect of their products were engineered with longevity as a goal. With an emphasis on innovation and development, Rimowa has committed to being linked with excellence and prestige since 1898 (LVMH, 2023). The distinct and unique grooves on their products give a functional yet modern design– the result of their attention to detail and notable craftsmanship.

The widespread availability and accessibility of their products established their global presence. Recognized by many, their global footprint emphasizes the brand's appeal across various markets and crowds. As our world is constantly evolving, Rimowa continues to inject new and fresh designs into the marketplace to further cater to different audiences and keep its reputation of exclusivity. In 2023, RepTrak ranked LVMH Moët Hennessy Louis Vuitton, the multinational corporation for luxury goods holding Rimowa, with a strong reputation and score of 71.2 and the highest being 76.8.

Where are We Now?

Environmental Trends:

In researching environmental trends, our team found various trends consisting of new growth in e-commerce, social media's impact on travel, and how job security impacts consumer spending on luxury items.

Social:

When looking at social trends our team found in an article that discusses the values and beliefs of "Consumers in the US," Americans value safety and security as consumers and this value has been consistent since the last quarter (Statista, 2019). This is important to recognize as a luggage brand because our Rimowa luggage aims to protect, secure, and provide lightweight storage for our consumers' valuable belongings. If consumers find that it is important to have safety and security that means, there is a market for our product. It is also stated that "1M+ travel-related hashtags are searched on Instagram every week" (Ratnaparkhe, 2023). This is a

recognizable social trend for our product because luggage is a necessity for travelers and traveling. As travel becomes a growing interest on social media platforms, this means the products used while traveling, like our luggage, can also become an interest to the audience.

Economic:

An economic trend that can benefit the sales of Rimowa and the new luggage we plan on launching is "In January 2024, the unemployment rate remained stable at 3.7% for the third consecutive month in the United States" (OECD, 2024). This is a recognizable economic trend because this relates to consumer confidence and spending behavior. When individuals are not worrying about losing their job and instead have job security, they tend to look at the economy in a positive light. Considering that our luggage is a more luxurious item, this benefits our marketing strategies because individuals feel secure enough about their jobs and obtaining essentials, that they are more likely to investigate activities, like traveling, that involve products such as the AeroType Pro that is not necessarily a day to day essential.

Technological:

Technological trends that will benefit our new luggage design is an explosive growth in e-commerce and low barriers of entry when it comes to online handbag and luggage sales. In the research, we found that "industry-wide revenue has been growing at a CAGR of 6.0% over the past five years and is expected to total $2.1 billion in 2023, when revenue will jump by an estimated 2.6%" (Statista, 2024). This demonstrates that our product will most likely benefit if posted on online websites. Growth in luggage sales could be because individuals were given the opportunity to travel again with fewer restrictions or no restrictions at all. Another technological

trend that is beneficial to our luggage would be the increase in broadband networks (IBISWorld,2022). Considering that e-commerce is now a useful market for consumers, having an increasing number of broadband networks means that individuals will be able to have speedy internet access when using these e-commerce services.

Competition:

A competitive trend relating to the luggage market and our product is how our company, LVMH, dominates the travel product market. Currently, LVMH Moët Hennessy Louis Vuitton Inc. dominates the market, with a retail value share of 14%. Another competitive trend that can be represented as a downfall is our product has to compete with non-luxury luggage. According to the research article "68% of the sales in the Luggage & Bags market will be attributed to Non-Luxury" (Statista, 2024). This could be seen as a downfall to our product because we have a smaller targeted market and are part of luxury bags & luggage. Although our market is not too small, we still have to make sure we are giving consumers a reason to invest in their luggage and still set ourselves apart from those other luxury brands.

Regulation:

A regulation trend that could benefit our product is on April 1, 2022, the "Biden administration reached deals to replace steel and aluminum tariffs with tariff rate quotas for the European Union and United Kingdom and steel tariffs with tariff-rate quotas for Japan" (Tariffs | Access2Markets, n.d.). The deals also eliminate tariffs on derivative goods from the same jurisdictions and will bring an end to related retaliatory tariffs" (York, 2023). This deal between the United States and the European Union allows for up to 384,000 tons of aluminum into the

United States tariff-free. This is beneficial to our Rimowa product because our luggage is made of aluminum and currently the headquarters of Rimowa is in Köln, Richard-Byrd-Straße 13, Germany, which is part of the European Union that was involved in this deal (Rimowa, 2024). That means when importing our aluminum luggage since it is a derivative good of aluminum, it will be tariff-free.

Industry Analysis

Our product is in the travel and luggage industry. The recorded growth of the travel and luggage industry in 2023 was 9.2% (Passport, 2024) (Appendix I). This growth could be because of the uplift in restrictions on traveling after the pandemic. This growth is good to see for our product as it entails potential revenue growth as well. The year 2023 proceeded with a projected growth of 4.1% (LVMH, 2022). This is exciting to hear because not only did it reach the benchmark made but it superseded it by almost double. This influx means that our product has the potential for strong performance and may have more opportunities to succeed in the market. The profit margin during the year 2023 was 26.5% (Statista, 2024). This profit margin is good because it indicates that the revenue is translating into net profit. Considering it is positive and considerably high, a good amount of revenue is being made. The segments that exist within this market are: handbags, wallets & little cases, bags & containers, and suitcases & briefcases as seen in the visual representation of the revenue each segment has within the industry (see Appendix A & B). The environmental forces align with the forecast; they are beneficial to our product and potential sales in the company. When considering the environmental forces and the forecast almost each one seems positive in helping to market our product and the consumers it involves.

SWOT Analysis

According to our SWOT analysis (see Appendix C), factors such as global economic conditions and geopolitical conflicts may affect the sales of Rimowa's luxury goods. Additionally, if consumers decide to change their preferences and consumer decision-making behavior, demand for luxury traveling goods may decline. Rimowa may minimize these threats by taking advantage of their strengths and scope for further development. Providing a diverse range and selection of products for consumers to select from while maintaining its iconic and innovative style, Rimowa may position its products in the market as a top-tier unique product among its competitors by incorporating a built-in pressurizing system in its pieces of luggage. Externally, by expanding in new markets specifically in the Asia region, Rimowa can reach target audiences globally. Adapting to the demands of consumers and becoming more environmentally conscious may attract new clients and maintain the loyalty of our current customers.

Where Do We Want to Go?

Market Segmentation

The first market segmentation variable for our prospective market is how frequently certain age groups visit the Rimowa website. Based on research, certain preferences and the needs of consumers are constantly changing as people mature. Exploring age categories ranging between 18 to 60+ years old. This was to be able to analyze the age groups we should identify for the other segments like income and travel frequency. By identifying the age groups that visit

the Rimowa website (Appendix F) we can identify those age groups who will most likely buy our new product or would at least have an interest/look at Rimowa's pieces of luggage. It was found that individuals between the ages of 25-54 are the most frequent flyers (Appendix G & H). This data positioned age groups as a variable that affects the outcome of the willingness of the consumer to purchase the AeroType Pro because an essential part of traveling is what you are using to pack.

Annual income is another segmentation variable that may prove useful to determine how much our customers are earning and how much of their disposable income they are willing to spend on leisure activities like traveling. This is important to identify because individuals with higher incomes and more frequent traveling can indicate a willingness to spend on our luxury luggage. When looking at statistics of age groups, their amount of traveling, and annual income (Appendix E) we find that those with an income of 100k+ tend to travel more frequently. This could indicate that we need to target audiences with higher incomes.

The third key segmentation variable for our prospective market is how frequently certain age groups travel. This is an important segment considering which age groups to target and which have the disposable income to travel, or how often they travel affects how often they use something like our product. Finding how often a certain age group travels helps us to determine which age group is more likely to invest in a piece of more expensive luggage for convenience. When individuals travel more, they are more likely to want to invest in the item they use while traveling, so knowing the frequency of when these age groups travel is important.

Market-Product Grid

*(See Appendix D)

Target Market

Rimowa's primary target market, highlighted in the Market-Product Grid, is avid travelers with a high income of 100k+ per year. Those who travel more often typically range from young adults (under 44 years old) to 64-year-olds. This decision to target this specific market comes from an educated assumption made from the data and information obtained in the market segmentation strategy.

Product Positioning Statement

For travelers who value the classy mix of efficiency and luxury: the AeroTight Pro offers a travel experience by combining an ultramodern pressurizing system with compact design to maximize your space and minimize the weight. Our Pressurized Compact Luggage System guarantees your personal belongings are compressed and secure– making your trip easier and lighter while moving in style. The AeroTight Pro is the ultimate companion when going anywhere and everywhere, especially for those who value innovation, practicality, and luxury.

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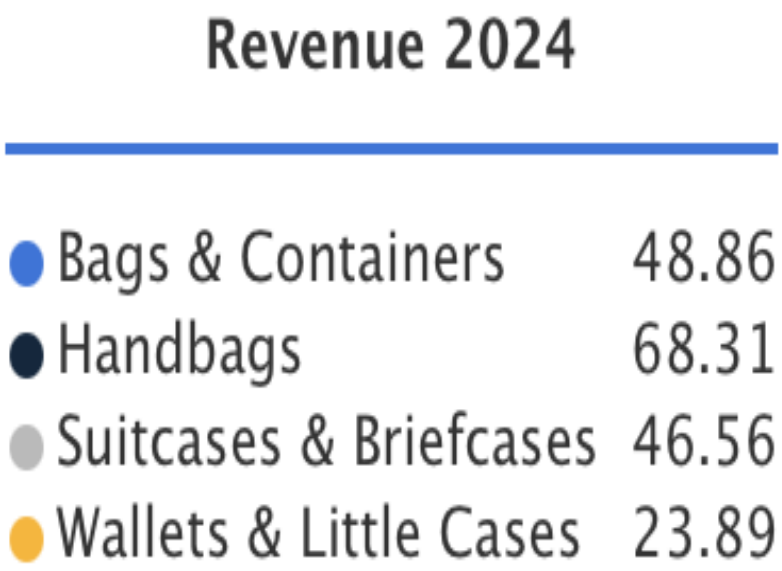
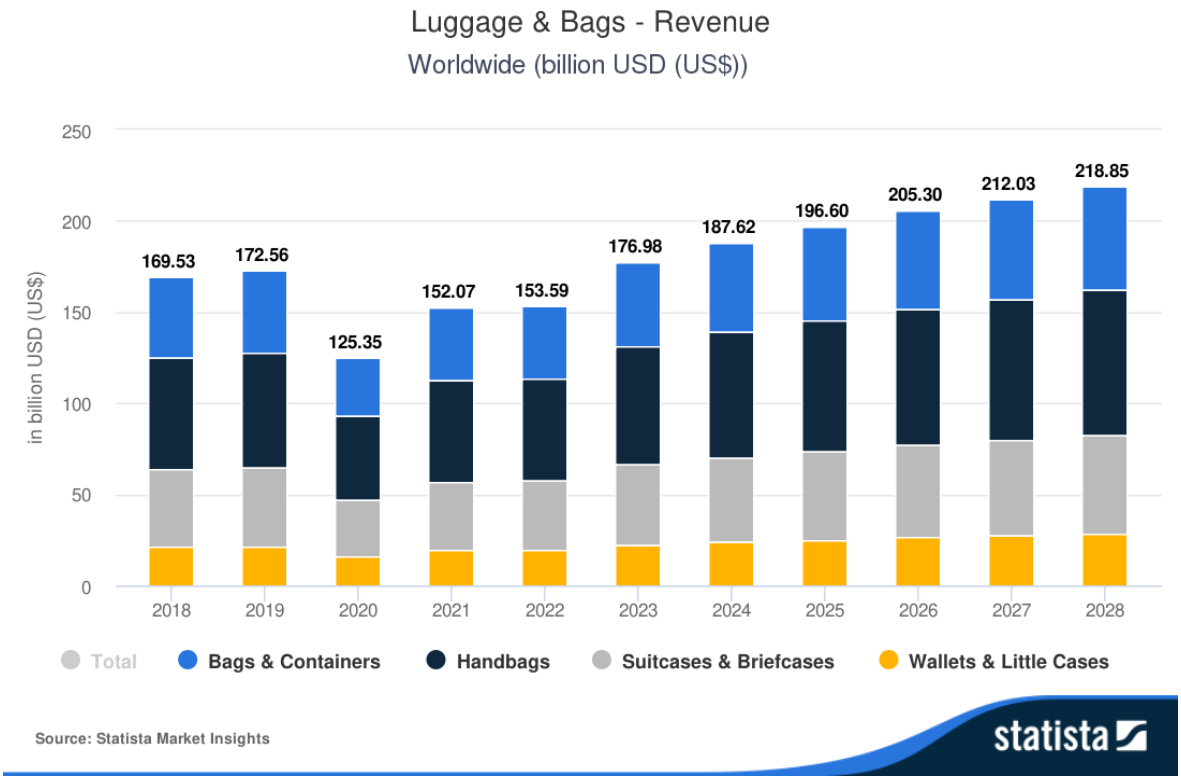
Appendices

Appendix A: Revenue Stream Generated by Each Product



Appendix B: Graph of Revenue Stream for Luggage and Bags



Appendix C: SWOT Analysis Chart

Strengths (Internal)	Weaknesses (Internal)
● Innovative Brand and Visual Identity ○ Products made with aluminum and polycarbonate aid in Rimowa's objective of being functional and iconic (Rimowa Visual Identity, n.d.). ○ Brand associated with durability, quality, endurance, and innovation. ○ Pivoting towards becoming the leading global manufacturer of functional luxury luggage (Rimowa Visual Identity, n.d.). ● Identifiable yet Diversified Product Portfolio ○ Rimowa offers a classic and timeless foundation; known for their iconic Grooves to highlight a textural and satisfying experience of their products (Rimowa, n.d.) ○ Offers a series of products and services: luggages, bags, accessories, specialty cases, customizable services, and repair services (Rimowa US, n.d.) ● Strong Brand Recognition and Global Presence ○ Recognized by many media outlets as being highly reputable within categories such as: "The 9 most timeless designs of the past 25 years" by *Fast Company* (LaBarre, 2019) and "The Best New Luggage of The	● Premium Pricing ○ High price points limit the consumer range in the market to a limited number of customers willing to purchase luxury goods at the set price point.

Year" by *Surface* (Bell, 2019). ○ Market shares	
Opportunities (External)	**Threats (External)**

● Expansion in Emerging Markets ○ Emerging markets like Southeast Asia, the Middle East, Korea, and India reaching influence towards luxury goods (Markets, 2023). ● Sustainable and Eco-Friendly Product Lines ○ Growing relevance of sustainable development could potentially lead Rimowa to invest and produce in more eco-friendly materials and methods of production. ● Digital and E-Commerce Growth ○ Improve and integrate digital marketing platforms into their strategy to engage with a younger demographic in today's digital era.	● Global Economic Fluctuations ○ Economic downturns and sudden changes in the marketplace can directly affect the sales of luxury goods ("How Strong Is the Pricing Power of Luxury Goods," 2022). ● New Entrants in the Market & Competition ○ Other luxury luggage brands and new entries in the market would require Rimowa to alter their price points. ○ Competitors offering ● Changes in Travel Habits ○ Global crises and political instability may affect consumer demand in traveling goods. (Statista, 2023). ● Changes in Consumer Preference ○ Consumers demand for brands to switch to more eco-friendly materials and practices may affect their purchase decisions (Pope, 2021). ○ 85% of respondents in a study have said they have changed their purchase behavior to become more eco-friendly (Pope, 2021). ● Imitations and Counterfeit Products from Competitors ○ The simple and classy design of Rimowa's products has resulted in other companies and brands to imitate and follow their unique and distinct designs. ○ These imitations and counterfeits have impacted Rimowa's brand value and standards.

Appendix D: Market-Product Grid

Market Segments			Products & Innovations	
Age	**Income**	**Travel Frequency**	**Rimowa Original Aluminum Luggage**	**Rimowa Built-In Pressurizing Luggage System**
Under 44 years old	<50k	<1	1	2
	$50k< >$75k		1	2
	$75k< >$100k		2	1
	$100k< >$150k		3	3
	>$150k		3	3
45-64 years old	<50k	<1	1	1
	$50k< >$75k		1	1
	$75k< >$100k		2	3
	$100k< >$150k		3	3
	>$150k		3	3
65+ years old	<50k	<1	1	0
	$50k< >$75k		1	1
	$75k< >$100k		1	1
	$100k< >$150k		2	2
	>$150k		2	3

*Key: 3= High Demand, 2= Moderate Demand , 1= Low Demand, 0= No Demand

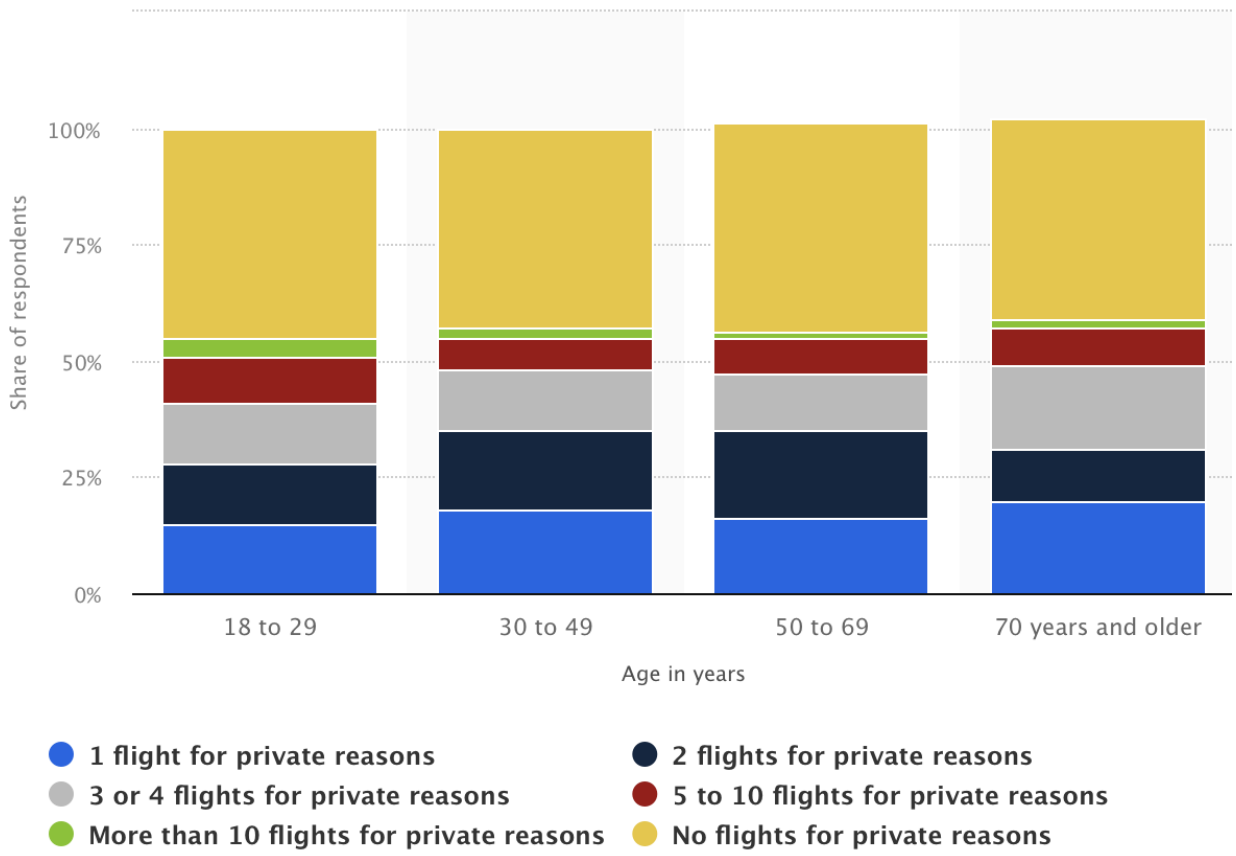
Appendix E: People who Travel Internationally at Least Once Per Year

People who travel internationally at least once per year (Percent of U.S. cardholders, by age and income)

Annual Income		<$50K	$50K< >$75K	$75K< >$100K	$100K< >$150K	>$150K
Visa cardholder age	Under 35	10%	12%	13%	15%	18%
	35-49	11%	12%	15%	17%	20%
	50-54	10%	11%	14%	17%	22%
	55-59	9%	11%	13%	16%	22%
	60-64	9%	10%	13%	16%	21%
	65-69	8%	10%	13%	16%	21%
	70-74	8%	10%	13%	16%	21%
	75-79	7%	9%	11%	15%	19%
	Over 80	4%	5%	7%	8%	11%

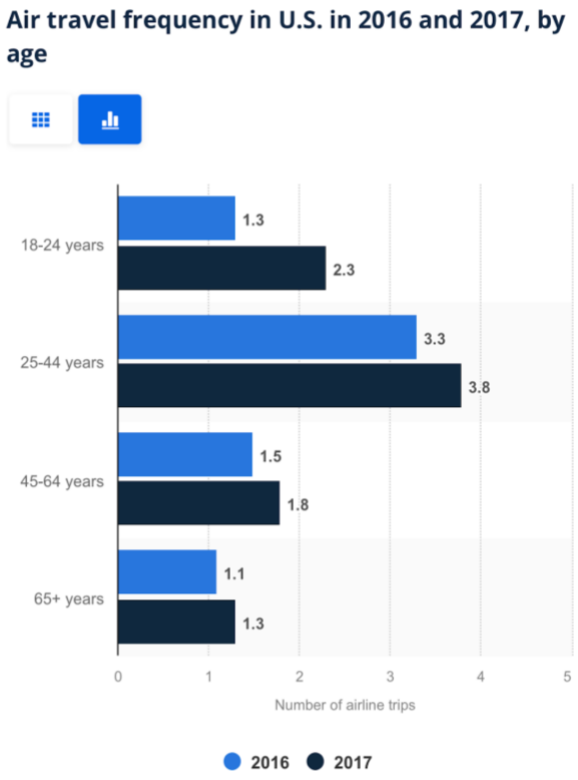
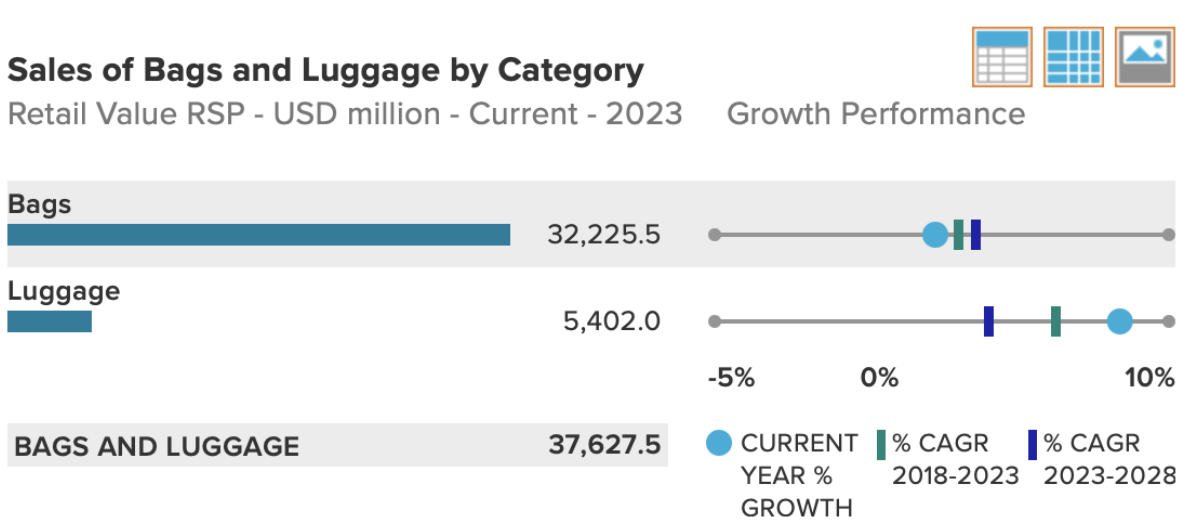
Appendix F: Age Groups Visiting the Rimowa Website

Appendix G: Travel Frequency in the United States



Details: United States; June 24 to July 20, 2019; 2,103 respondents; 18 years and older; U.S. onliners who have been on vacation in the last two years; Online survey

Appendix H: Air Travel Frequency in the United States (2016 & 2017)



Appendix I: Bags and Luggage in the US